Financial Statement Analysis – Apple Inc. (FY2025 vs FY2024)

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1. Company Selection and Introduction

Apple Inc. (headquartered in Cupertino, California) designs, manufactures (through contract manufacturers) and sells smartphones, personal computers, tablets, wearables and accessories, and runs related services. Its **principal business activities** are the iPhone, Mac, iPad and Wearables/Home/Accessories product lines, which made up 74% of FY2025 revenue, plus Services (App Store, iCloud, Apple Music, AppleCare, Apple Pay, advertising and licensing), which made up 26%. **Industry/sector:** Information Technology, in the Technology Hardware & Consumer Electronics industry. It is a product manufacturer, not a bank, financial or service company. **Listing:** Apple's common stock trades on the **NASDAQ Global Select Market** (ticker: AAPL) and is part of the S&P 500 and Dow Jones Industrial Average. It has about 166,000 full-time equivalent employees.

2. Financial Years Analysed and Source

The analysis covers the **latest financial year FY2025** (year ended 27 September 2025) and the **previous financial year FY2024** (year ended 28 September 2024). The primary source is Apple's **audited Form 10-K annual report** (auditor: Ernst & Young LLP). FY2026 results are not published until late October 2026. The FY2023 balance sheet (from the FY2024 10-K) is used only to calculate opening balances for averages. **Note:** FY2024 profit includes a **one-time income tax charge of $10.2bn** following the EU State Aid ruling, and $15.8bn of FY2024 cash and securities was held in escrow for this payment.

3. Financial Statement Extracts

Balance sheet (as at year end)	FY2025	FY2024	FY2023
Cash and cash equivalents	35,934	29,943	29,965
Current marketable securities	18,763	35,228	31,590
Accounts receivable, net	39,777	33,410	29,508
Vendor non-trade receivables	33,180	32,833	31,477
Inventories	5,718	7,286	6,331
Other current assets	14,585	14,287	14,695
Total current assets	**147,957**	**152,987**	**143,566**
Non-current marketable securities	77,723	91,479	100,544
Property, plant and equipment, net	49,834	45,680	43,715
Other non-current assets	83,727	74,834	64,758
Total assets	**359,241**	**364,980**	**352,583**
Accounts payable	69,860	68,960	62,611
Other current liabilities	66,387	78,304	58,829
Deferred revenue	9,055	8,249	8,061
Commercial paper	7,979	9,967	5,985
Term debt – current	12,350	10,912	9,822
Total current liabilities	**165,631**	**176,392**	**145,308**
Term debt – non-current	78,328	85,750	95,281
Other non-current liabilities	41,549	45,888	49,848
Total liabilities	**285,508**	**308,030**	**290,437**
Total shareholders' equity	**73,733**	**56,950**	**62,146**

Income statement	FY2025	FY2024
Net sales – Products	307,003	294,866
Net sales – Services	109,158	96,169
Total net sales	**416,161**	**391,035**
Cost of sales	220,960	210,352
Gross margin	**195,201**	**180,683**
Research and development	34,550	31,370
Selling, general and administrative	27,601	26,097
Operating income	**133,050**	**123,216**
Other income/(expense), net	(321)	269
Income before taxes	132,729	123,485
Provision for income taxes	20,719	29,749
Net income	**112,010**	**93,736**
Diluted EPS (US$)	7.46	6.08

Cash flow statement	FY2025	FY2024
Net income	112,010	93,736
Depreciation and amortisation	11,698	11,445
Cash generated by operating activities	**111,482**	**118,254**
Payments for property, plant and equipment (capex)	(12,715)	(9,447)
Cash generated by investing activities	15,195	2,935
Dividends paid	(15,421)	(15,234)
Repurchases of common stock	(90,711)	(94,949)
Repayments of term debt	(10,932)	(9,958)
Proceeds from issuance of term debt, net	4,481	0
Cash used in financing activities	**(120,686)**	**(121,983)**
Cash paid for income taxes, net	43,369	26,102

Source: Apple Inc. Form 10-K FY2025 and FY2024 – Consolidated Balance Sheets, Statements of Operations and Statements of Cash Flows. Brackets denote negative figures / cash outflows.

4. Ratio Selection

The answers to the four assignment questions follow below. For each question, every ratio is shown with its formula, the figures used and the calculation for both years, followed by an interpretation, analysis and a conclusion. The ratios were chosen to fit Apple's business model. **Liquidity:** the current, quick and cash ratios, plus the operating cash flow ratio, because Apple pays its short-term bills mainly from cash it generates during the year. **Solvency:** debt-to-equity and the debt ratio show the capital structure, while debt/EBITDA and cash flow/debt show how easily Apple could repay debt, since buybacks have made book equity artificially small. Apple no longer reports interest expense separately, so interest cover cannot be calculated accurately. **Working capital:** inventory, receivable and payable days and the cash conversion cycle, because Apple relies on contract manufacturers and sells about 60% of its products through carriers and retailers. **Profitability:** margins, ROA, ROE and free cash flow margin. Turnover and return ratios use average balances.

Question 1 – Liquidity Analysis (5 marks)

What would you conclude about the company's liquidity position? Use appropriate liquidity ratios to analyse its ability to meet short-term obligations and any liquidity risks.

Ratio and formula	FY2025 working (US$ m)	FY2024 working (US$ m)	Interpretation
Current ratio Current assets / Current liabilities	147,957 / 165,631 **= 0.89x**	152,987 / 176,392 **= 0.87x**	Below 1.0x in both years, but improving. Current liabilities exceed current assets mainly because suppliers give long credit terms (payables $69.9bn).

Ratio and formula	FY2025 working (US$ m)	FY2024 working (US$ m)	Interpretation
Quick ratio (Cash + current securities + receivables + vendor receivables) / Current liabilities	(35,934 + 18,763 + 39,777 + 33,180) = 127,654 / 165,631 **= 0.77x**	(29,943 + 35,228 + 33,410 + 32,833) = 131,414 / 176,392 **= 0.75x**	Close to the current ratio because inventory is tiny ($5.7bn). Nearly all current assets are cash or receivables.
Cash ratio (Cash + current marketable securities) / Current liabilities	(35,934 + 18,763) = 54,697 / 165,631 **= 0.33x**	(29,943 + 35,228) = 65,171 / 176,392 **= 0.37x**	Fell because $15.8bn held in escrow was paid to Ireland and cash was used for buybacks.
Operating cash flow ratio Cash from operations / Current liabilities	111,482 / 165,631 **= 0.67x**	118,254 / 176,392 **= 0.67x**	Each year's cash flow covers about two-thirds of all current liabilities, which is very strong cash generation.

Analysis. On textbook standards (a current ratio of about 2:1) Apple looks illiquid, with negative working capital of $(17.7)bn in FY2025 and $(23.4)bn in FY2024. In fact this **results from its business model**: suppliers effectively finance Apple (payables of $69.9bn against trade receivables of $39.8bn), and products are built to order by contract manufacturers. Liquidity is supported by $77.7bn of **non-current marketable securities** that can be sold quickly. Total cash and securities are $132.4bn against total debt of $98.7bn, giving **net cash of $33.8bn** (FY2024: $50.0bn). The current ratio improved because other current liabilities fell by $11.9bn once the EU tax liability was settled (cash taxes paid rose from $26.1bn to $43.4bn). **Risks:** dependence on supplier credit (a sharp fall in demand would reduce cash inflows while payables still fall due); net cash falling by $16.3bn because of $106bn of buybacks and dividends; and reliance on commercial paper ($8.0bn).

Answer to Q1 – Conclusion on liquidity: Apple's liquidity is **strong in substance despite weak-looking ratios**. The low current ratio reflects Apple's bargaining power over suppliers, not financial strain, and $111.5bn of operating cash flow makes the risk of short-term default very low.

Question 2 – Solvency Analysis (5 marks)

What would you conclude about the company's solvency? Use appropriate solvency ratios to assess long-term financial stability and the ability to meet financial obligations. Identify key solvency risks and trends.

Ratio and formula	FY2025 working (US$ m)	FY2024 working (US$ m)	Interpretation
Debt-to-equity (Commercial paper + term debt) / Shareholders' equity	(7,979 + 12,350 + 78,328) = 98,657 / 73,733 **= 1.34x**	(9,967 + 10,912 + 85,750) = 106,629 / 56,950 **= 1.87x**	High but falling sharply. Equity is small because of share buybacks (accumulated deficit of $14.3bn), not because of losses.
Debt ratio Total liabilities / Total assets	285,508 / 359,241 **= 79.5%**	308,030 / 364,980 **= 84.4%**	About 80% of assets are funded by liabilities, but these include $69.9bn of interest-free supplier credit. The ratio improved.
Debt / EBITDA Total borrowings / (Operating income + depreciation & amortisation)	98,657 / (133,050 + 11,698 = 144,748) **= 0.68x**	106,629 / (123,216 + 11,445 = 134,661) **= 0.79x**	All debt could be repaid with about eight months of operating earnings. This is very low leverage by credit standards.
Operating cash flow to debt Cash from operations / Total borrowings	111,482 / 98,657 **= 1.13x**	118,254 / 106,629 **= 1.11x**	One year of operating cash flow exceeds total debt, so repayment capacity is very strong.
Net cash Cash + all marketable securities - Total borrowings	(35,934 + 18,763 + 77,723) - 98,657 **= 33,763**	(29,943 + 35,228 + 91,479) - 106,629 **= 50,021**	Still net cash, but $16.3bn less than a year earlier as reserves fund buybacks.

Analysis. Every solvency ratio **improved in FY2025**. Borrowings fell by $8.0bn (term debt repayments of $10.9bn against new issues of $4.5bn), and equity rose by $16.8bn because net income ($112.0bn) exceeded buybacks plus dividends ($106.1bn). In FY2024, by contrast, payouts of $110.2bn exceeded net income. The high equity-based ratios are therefore a result of Apple's capital-return policy, while the earnings and cash-based ratios show very little default risk. Using the last interest expense Apple reported separately ($3.9bn in FY2023) as an estimate, operating income covers interest more than 30 times. **Risks:** the thin equity buffer against large write-downs or legal penalties; net cash gradually turning into net debt if buybacks keep exceeding free cash flow; about $20bn of debt to refinance each year at higher interest rates; and $41.5bn of other long-term liabilities, including tax payables.

Answer to Q2 – Conclusion on solvency: Apple is **highly solvent, and its solvency is improving**. Debt/EBITDA of 0.68x, operating cash flow of 1.13x debt and net cash of $33.8bn show strong long-term stability. The figure to watch is the falling net cash balance.

Question 3 – Working Capital & Profitability Analysis (5 marks)

What would you conclude about the company's working capital and profitability? Use efficiency, turnover and profitability ratios to assess how efficiently working capital is managed and how effectively profits are generated. Identify strengths, weaknesses and risks.

Ratio and formula	FY2025 working (US$ m)	FY2024 working (US$ m)	Interpretation
(a) WORKING CAPITAL MANAGEMENT – efficiency and turnover ratios			
Inventory turnover; days inventory COGS / Average inventory; 365 / turnover	220,960 / ((5,718 + 7,286) / 2 = 6,502) = **33.98x**; days = 365 / 33.98 **= 10.7 days**	210,352 / ((7,286 + 6,331) / 2 = 6,808) = **30.90x**; days = 365 / 30.90 **= 11.8 days**	Inventory is sold in about 11 days, and this is improving. Lean, built-to-order supply chain.
Receivables turnover; days sales outstanding Net sales / Average receivables; 365 / turnover	416,161 / ((39,777 + 33,410) / 2 = 36,594) = **11.37x**; days = 365 / 11.37 **= 32.1 days**	391,035 / ((33,410 + 29,508) / 2 = 31,459) = **12.43x**; days = 365 / 12.43 **= 29.4 days**	Weaker: customers take about 3 days longer to pay. Receivables rose 19% against sales growth of 6.4%.

Ratio and formula	FY2025 working (US$ m)	FY2024 working (US$ m)	Interpretation
Payables turnover; days payables outstanding COGS / Average payables; 365 / turnover	220,960 / ((69,860 + 68,960) / 2 = 69,410) = **3.18x**; days = 365 / 3.18 = **114.7 days**	210,352 / ((68,960 + 62,611) / 2 = 65,786) = **3.20x**; days = 365 / 3.20 = **114.2 days**	Suppliers are paid after about 115 days. Apple uses its bargaining power to fund its operations.
Cash conversion cycle Inventory days + Receivable days - Payable days	10.7 + 32.1 - 114.7 **= -71.8 days**	11.8 + 29.4 - 114.2 **= -73.0 days**	Negative: Apple is paid about 72 days before it pays suppliers, so growth generates cash.
Total asset turnover Net sales / Average total assets	416,161 / ((359,241 + 364,980) / 2 = 362,110) **= 1.15x**	391,035 / ((364,980 + 352,583) / 2 = 358,782) **= 1.09x**	Improved: more sales from a slightly smaller asset base.
(b) PROFITABILITY RATIOS			
Gross profit margin Gross margin / Net sales	195,201 / 416,161 **= 46.9%**	180,683 / 391,035 **= 46.2%**	Up because high-margin Services (75.4% gross margin) grew 13.5% and now make up 26.2% of sales.
Operating profit margin Operating income / Net sales	133,050 / 416,161 **= 32.0%**	123,216 / 391,035 **= 31.5%**	Up even though R&D grew to $34.6bn (AI investment). Costs are well controlled.
Net profit margin Net income / Net sales	112,010 / 416,161 **= 26.9%**	93,736 / 391,035 **= 24.0%**	Up sharply, but FY2024 was reduced by the $10.2bn tax charge. Excluding it, FY2024 was 26.6%, so the underlying margin was broadly stable.
Return on assets (ROA) Net income / Average total assets	112,010 / 362,110 (avg. total assets) = **30.9%**	93,736 / 358,782 (avg. total assets) = **26.1%**	Exceptional and rising. Assets are used very productively.
Return on equity (ROE) Net income / Average shareholders' equity	112,010 / ((73,733 + 56,950) / 2 = 65,342) **= 171.4%**	93,736 / ((56,950 + 62,146) / 2 = 59,548) **= 157.4%**	Very high mainly because buybacks keep equity small, so ROA is the more reliable measure.
Free cash flow margin (Operating cash flow - Capex) / Net sales	(111,482 - 12,715) = 98,767 / 416,161 **= 23.7%**	(118,254 - 9,447) = 108,807 / 391,035 **= 27.8%**	Down: the one-off EU tax payment and higher capex ($12.7bn vs $9.4bn) reduced free cash flow to $98.8bn.

Analysis. Strengths: a lean, supplier-funded working capital cycle (negative cash conversion cycle, inventory turned 34 times a year); revenue growth accelerating to 6.4% (FY2024: 2.0%); record gross and operating margins driven by the shift towards Services; diluted EPS up 22.7% to $7.46 (about 8% underlying growth in net income after removing the tax charge). **Weaknesses:** slower collection from customers; the Products gross margin slipping from 37.2% to 36.8%, partly because of US tariffs; and free cash flow down 9%. **Risks:** supply chains concentrated in China and exposed to tariffs; regulation of App Store fees (EU Digital Markets Act, US court rulings); possible loss of Google search payments in the US antitrust case; competition in AI; and iPhone dependence (about half of revenue).

Answer to Q3 – Conclusion on working capital and profitability: Working capital management is **excellent** and profitability is **outstanding and improving**. The weaker areas are collection from customers, hardware margins and lower free cash flow in FY2025.

Question 4 – Investment Recommendation (5 marks)

Based on the overall financial analysis, would you recommend investing in the company? Support the recommendation with the findings on liquidity, solvency, working capital, profitability and key financial risks.

Area	Verdict	Trend	Key evidence
Liquidity	Strong	Stable	Current ratio 0.89x (low by design); operating cash flow ratio 0.67x; net cash $33.8bn
Solvency	Very strong	Improving	Debt-to-equity down from 1.87x to 1.34x; debt/EBITDA 0.68x; operating cash flow/debt 1.13x
Working capital	Excellent	Stable	Cash conversion cycle about -72 days; 11 inventory days; receivable days up from 29 to 32
Profitability	Excellent	Improving	Gross margin 46.9%, operating margin 32.0%, ROA 30.9%; free cash flow margin down to 23.7%

Overall financial health. Apple is in **excellent financial health**. It is highly profitable, generates large amounts of cash, carries little debt relative to earnings, and is funded by its suppliers. The apparently weak liquidity and leverage ratios are side effects of a deliberate policy of returning surplus cash to shareholders. **Valuation:** in late September 2026 the shares traded at about $339 (market value of about $5 trillion), a trailing P/E of about 37-39x, against a 10-year average of about 25x. That leaves a free cash flow yield of only about 2%.

Answer to Q4 – Yes, I recommend investing: INVEST for the long term (5+ years), buying gradually ("Accumulate"). The ratio analysis shows no threat to Apple's financial stability in any of the four areas. Solvency is improving, working capital generates cash, and margins are at record levels. The main risk is the **high share price**, not the company's finances. I therefore recommend buying in instalments or on market pullbacks rather than investing a lump sum. Existing shareholders should **hold**. I would review this view if Services growth falls below about 10%, the Products margin falls below 35%, net cash turns into lasting net debt, or receivable days keep rising.

5. Sources and References

1. Apple Inc., **Form 10-K for FY2025** (year ended 27 Sep 2025), US SEC: https://www.sec.gov/Archives/edgar/data/320193/000032019325000079/aapl-20250927.htm
2. Apple Inc., **Form 10-K for FY2024** (year ended 28 Sep 2024), US SEC: https://www.sec.gov/Archives/edgar/data/320193/000032019324000123/aapl-20240928.htm
3. Apple Investor Relations – annual reports and SEC filings: https://investor.apple.com/sec-filings/
4. Market price and P/E (approximate, late September 2026): Yahoo Finance, https://finance.yahoo.com/quote/AAPL/key-statistics. All ratios were calculated by the author from the 10-K figures.